Pondicherry with his wife, Shakti, but was recalled in 1979 to take up the position of Chairman, IDBI. On hearing rumours that the government might replace him, he resigned at the end of 1980 and moved back to Pondicherry where he had retained his rented apartment.

He continued to be on the Boards of a few companies after retirement but spent most of his time in quiet contemplation and meditation at the Aurobindo Ashram in Pondicherry. In his last days, Talwar had problems with his circulation and also had problems with memory loss. Vaghul says that when he and one of his former colleagues in the SBI wanted to meet Talwar he refused, probably because he wanted them to remember him as they had always known him.[7] He passed away in Pondicherry on April 23, 2002, less than two months short of his 80th birthday.